

Enterprise Data Infrastructure — 2026 Outlook

SAMPLE DOCUMENT — synthetic data generated to exercise the ingestion pipeline. Delete this file and drop in your real corpus.

Summary

Enterprise spending on data infrastructure is projected to grow 15.2% in 2026, reaching an estimated \$118B. Growth is decelerating from the 21% recorded in 2024 as the initial wave of generative AI infrastructure buildout completes and buyers shift from capacity acquisition toward utilization and cost control.

Three forces shape the year. First, consolidation: the median enterprise now runs 6.8 distinct data tools, down from 9.1 in 2023, as platform teams retire overlapping point solutions. Second, cost scrutiny: 68% of surveyed data leaders report an explicit mandate to reduce per-query or per-terabyte cost in 2026, up from 41% in 2024. Third, governance: regulatory pressure in the EU and a growing number of US states is moving lineage and access auditing from a nice-to-have to a procurement requirement.

Spending by Category

Storage and compute infrastructure remains the largest line at an estimated \$52B, growing 11%. The deceleration here is sharpest — buyers who over-provisioned during 2023 and 2024 are now consolidating workloads rather than expanding footprint.

Data integration and pipeline tooling is estimated at \$19B, growing 18%. This category benefits from consolidation rather than suffering from it: as organizations retire point solutions, they concentrate spend on fewer, broader integration platforms.

Analytics and business intelligence is estimated at \$27B, growing 14%. Embedded analytics — analytics sold to software vendors for white-labeling rather than to end enterprises — is the fastest-growing subsegment at 17%, though from a smaller base of roughly \$4.2B.

Governance, catalog and observability tooling is the smallest category at \$12B but the fastest growing at 26%. This is almost entirely regulatory-driven and is the category where budget is least likely to be cut.

Buying Behavior

The median enterprise data purchase decision now involves 5.4 stakeholders, up from 3.8 in 2023. Security review has become a standard gate at contract values above \$50K, adding a median of 23 days to the cycle. Vendors without SOC 2 Type II are increasingly eliminated before technical evaluation rather than during it.

Procurement is also shifting toward usage-based pricing, but unevenly. Among organizations above 1,000 employees, 54% report a preference for committed contracts with predictable annual cost, citing budgeting difficulty with consumption models. Below 1,000 employees the preference inverts, with 61% preferring usage-based. Vendors serving both segments increasingly offer parallel pricing models rather than a single motion.

Technology Shifts

Open table formats have effectively won. Apache Iceberg adoption among enterprises running a lakehouse architecture reached 58% in 2025, up from 24% in 2023, with Delta Lake at 31% and Hudi in single digits. The practical consequence for vendors is that storage-layer lock-in is no longer a durable moat, and differentiation is moving to the query and governance layers.

Vector storage has consolidated into existing databases rather than remaining a separate category. By late 2025, 71% of organizations running retrieval-augmented generation workloads reported using vector capabilities inside a database they already operated — Postgres with pgvector most commonly — rather than a dedicated vector store. Standalone vector databases retain an advantage at very high scale and in latency-critical serving paths, but the mid-market opportunity has largely closed.

Retrieval quality, not model quality, has become the dominant constraint on production RAG systems. In a survey of 240 teams running retrieval-augmented systems in production, 63% identified retrieval as the primary source of answer errors, against 22% naming the generation model. Hybrid retrieval — combining dense vector search with keyword scoring such as BM25 — is now used by 49% of these teams, up from 18% two years earlier, and reranking by 37%.

Regional Notes

North America accounts for an estimated 52% of spend, growing 14%. Europe accounts for 26%, growing 16%, with growth disproportionately in governance tooling as the AI Act compliance deadlines approach. Asia-Pacific accounts for 18%, growing 21%, and is the only region where greenfield infrastructure buildout still exceeds consolidation spend.

Risks to the Forecast

The principal downside risk is a sharper-than-expected correction in AI infrastructure spending. Roughly \$14B of the 2025 base is attributable to generative AI workloads whose production value remains unproven at many organizations; if a meaningful fraction of those projects are cancelled rather than sustained, category growth could fall to single digits.

The principal upside risk is regulatory acceleration. If governance requirements tighten faster than currently scheduled, the governance and observability category could substantially exceed its 26% projection, and compliance-ready vendors would capture disproportionate share.